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HIVAM confronts a dilemma every year. The 28-year-old private sector employee gets stressed making the annual choice between the two taxation regimes for individuals in India—the old, which allows deductions for investments and some other expenses, and the new regime introduced in April 2020, which does not allow such deductions but has lower rates.

“Every year, figuring out which one will save me more money on taxes is a guessing game,” he says. “Now, with these new choices, I cannot make decisions, and it’s preventing me from making any investments at all, directly impacting my finances.”

Many like him have demanded that the government ensure parity between the two regimes. They want the comforts of the old, with

its many deductions, but with the lower slab rates of the new. And they’re pinning their hopes on the upcoming Union Budget for the full year 2024–25—an Interim Budget was presented earlier this year ahead of the General Elections according to convention.

The National Democratic Alliance government is back in the saddle. Union Finance Minister Nirmala Sitharaman has retained her portfolio, and she is set to present a record seventh Budget.

But despite the continuity, experts expect tweaks considering the changed composition of the Lok Sabha, with the Bharatiya Janata Party falling below the majority mark of 272 seats and depending on coalition partners to make up the numbers.

They believe the government

Great Expectations

Here is a list of changes that experts and taxpayers desire in the tax architecture

TAX EXPERTS’ ANTICIPATION

- ▶ The tax slabs and rates under the old and new tax regimes are expected to be revised
- ▶ The standard deduction limit may rise to ₹75,000 from ₹50,000 under both regimes
- ▶ The government can consider increasing the interest deduction limit on house property under Section 24(b) from ₹2 lakh to ₹3 lakh

▶ New tax benefits similar to 80EEA could be introduced to give a boost to the affordable housing sector

▶ The government may introduce a single ITR form for easier tax filing (replacing ITR-1 to ITR-6)

▶ Tax compliance can be eased through digitalisation

TAXPAYERS’ DEMANDS

▶ Deduction limits for Section 80C of the Income Tax Act should

increase under the old regime

▶ Taxpayers are looking for one tax regime, as picking the best one every year is a headache

▶ The government should have a fairer tax system, equal rates for capital gains on stocks, bonds and real estate

▶ A balanced system is required so that high earners contribute fairly without stifling hard work and savings

